

PROBATIONARY OFFICERS: GENERA AWARENESS / ECONOMY/ BANKING KNOWLEDGE SET 4

1	The Sixteenth Finance Commission is chaired by:	N K Singh	Arvind Panagariya	Y V Reddy	Bibek Debroy	Shaktikanta Das	(b) Arvind Panagariya	Dr Arvind Panagariya chairs the 16th Finance Commission (award period from 2026-27).
2	The Finance Commission is constituted every:	3 years	5 years	7 years	10 years	Every 2 years	(b) 5 years	A Finance Commission is constituted every fifth year or earlier under Article 280.
3	The Goods and Services Tax came into effect on:	1 April 2016	1 July 2017	1 January 2018	1 April 2017	1 July 2016	(b) 1 July 2017	GST replaced multiple indirect taxes from 1 July 2017.
4	GST was introduced through which Constitutional Amendment?	99th	100th	101st	103rd	122nd	(c) 101st	The Constitution (101st Amendment) Act, 2016 enabled GST.
5	The GST Council is constituted under which Article?	Article 279A	Article 280	Article 112	Article 265	Article 268A	(a) Article 279A	Article 279A creates the GST Council chaired by the Union Finance Minister.
6	Under the GST rate rationalisation effective September 2025, the two principal GST slabs are:	5 percent and 12 percent	5 percent and 18 percent	12 percent and 28 percent	8 percent and 16 percent	5, 12, 18 and 28 percent	(b) 5 percent and 18 percent	GST 2.0 (effective 22 September 2025) moved to two main slabs of 5 and 18 percent, with a 40 percent rate for demerit goods.

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7	The Economic Survey is prepared by:	RBI	Department of Economic Affairs under the Chief Economic Adviser	NITI Aayog	CAG	Comptroller and Auditor General	(b) Department of Economic Affairs under the Chief Economic Adviser	The Economic Survey is prepared by the Economic Division, DEA under the Chief Economic Adviser and presented before the Budget.
8	NITI Aayog replaced the Planning Commission in:	2012	2014	2015	2017	2016	(c) 2015	NITI Aayog was established on 1 January 2015, replacing the Planning Commission.
9	India's Five Year Plans formally ended with the:	Tenth Plan	Eleventh Plan	Twelfth Plan (2012-17)	Ninth Plan	Thirteenth Plan	(c) Twelfth Plan (2012-17)	The Twelfth Five Year Plan (2012-17) was India's last; three-year action agendas followed.
10	The economic reforms of 1991 are popularly known as:	Green Revolution	LPG - Liberalisation, Privatisation, Globalisation	Operation Flood	Golden Quadrilateral	Second Green Revolution	(b) LPG - Liberalisation, Privatisation, Globalisation	The 1991 reforms of liberalisation, privatisation and globalisation opened up the economy.
11	The Green Revolution in India is chiefly associated with:	Milk production	High yielding varieties of wheat and rice	Fisheries	Oilseeds	Pulses and millets	(b) High yielding varieties of wheat and rice	The Green Revolution (mid-1960s) used HYV seeds, fertilisers and irrigation, led by M S Swaminathan.
12	Operation Flood is related to:	Irrigation	Dairy development	Flood control	Fish farming	Poultry development	(b) Dairy development	Operation Flood (1970), led by Verghese Kurien, made India the largest milk producer.

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13	The Human Development Index is published by:	World Bank	UNDP	IMF	WTO	World Economic Forum	(b) UNDP	UNDP publishes the Human Development Index combining income, health and education.
14	The Gini coefficient measures:	Inflation	Income inequality	Unemployment	Literacy	Fiscal health of states	(b) Income inequality	Gini coefficient ranges 0 (perfect equality) to 1 (perfect inequality).
15	The Tendulkar and Rangarajan Committees are associated with:	Poverty estimation	Tax reforms	Bank mergers	Labour codes	GST rate setting	(a) Poverty estimation	Tendulkar (2009) and Rangarajan (2014) committees estimated poverty lines in India.
16	The Periodic Labour Force Survey (PLFS) is conducted by:	Labour Bureau	NSO	NITI Aayog	EPFO	Census Commissioner	(b) NSO	PLFS, conducted by NSO since 2017-18, is the main employment-unemployment survey.
17	Disguised unemployment is most commonly found in India's:	IT sector	Agriculture sector	Banking sector	Aviation sector	Manufacturing sector	(b) Agriculture sector	In disguised unemployment, more people work on a farm than needed; marginal productivity is near zero.
19	Current Account Deficit (CAD) arises when:	Exports exceed imports	A country's total imports of goods, services and transfers exceed its exports and receipts	FDI inflows fall	Fiscal deficit rises	Government spends more than its tax revenue	(b) A country's total imports of goods, services and transfers exceed its exports and receipts	CAD occurs when payments for imports of goods, services and transfers exceed corresponding receipts.

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20	India's Balance of Payments is compiled and published by:	Ministry of Commerce	RBI	SEBI	DGFT	NITI Aayog	(b) RBI	RBI compiles and publishes India's Balance of Payments statistics quarterly.
21	Devaluation of a currency tends to make:	Exports cheaper and imports costlier	Both cheaper	Imports cheaper	No change in trade	Exports costlier and imports cheaper	(a) Exports cheaper and imports costlier	A cheaper currency makes exports more competitive and imports more expensive.
22	FDI differs from FPI mainly because FDI:	Is short-term	Involves lasting interest and management control	Is only in G-Secs	Is illegal	Is always routed through stock exchanges	(b) Involves lasting interest and management control	FDI brings lasting interest and management control (10 percent or more equity), unlike portfolio flows.
23	The tax rebate threshold under the new income tax regime announced in Budget 2025-26 makes income tax nil up to:	Rs 5 lakh	Rs 7 lakh	Rs 12 lakh	Rs 15 lakh	Rs 10 lakh	(c) Rs 12 lakh	Budget 2025-26 raised the Section 87A rebate so that income up to Rs 12 lakh is tax-free under the new regime.
24	Which body administers direct taxes in India?	CBIC	CBDT	SEBI	GST Council	Enforcement Directorate	(b) CBDT	The Central Board of Direct Taxes administers income tax; CBIC handles indirect taxes.
25	Ad valorem tax is levied on the basis of:	Quantity	Value	Weight	Volume	Distance transported	(b) Value	Ad valorem duties are charged as a percentage of the value of goods.

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26	A regressive tax is one where the tax burden:	Rises with income	Falls proportionately more on lower income groups	Is equal in amount and impact for all	Applies only to companies	Is levied only on luxury goods	(b) Falls proportionately more on lower income groups	A regressive tax takes a larger share of income from the poor, e.g., uniform indirect taxes.
27	SEBI was given statutory powers in:	1988	1992	1995	2000	1997	(b) 1992	SEBI, formed in 1988, got statutory powers through the SEBI Act on 30 January 1992.
28	SEBI regulates:	Insurance companies	Securities markets	Cooperative banks	Pension funds	Chit funds only	(b) Securities markets	SEBI protects investors and regulates the securities market, including stock exchanges and mutual funds.
29	IRDAI, the insurance regulator, was established under an Act of:	1991	1999	2002	2013	2015	(b) 1999	IRDAI was constituted under the IRDA Act, 1999 following the Malhotra Committee report.
30	IRDAI is headquartered in:	Mumbai	New Delhi	Hyderabad	Pune	Chennai	(c) Hyderabad	IRDAI is headquartered in Hyderabad.
31	PFRDA regulates:	Mutual funds	Pension sector including NPS	Commodity markets	Small savings	Post office savings schemes	(b) Pension sector including NPS	PFRDA (statutory since 2013) regulates NPS and the pension sector.
32	The money market deals in instruments with maturity:	Above 5 years	Up to one year	Only 10-year bonds	Perpetual only	1 to 3 years	(b) Up to one year	Money market instruments mature within one year; the capital market handles longer tenors.

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33	Treasury Bills are issued by:	State governments	Government of India through RBI	Commercial banks	NBFCs	SEBI on behalf of exchanges	(b) Government of India through RBI	T-Bills are short-term borrowing instruments of the Central Government issued through RBI auctions.
34	T-Bills are issued at:	Face value with coupon	A discount and redeemed at par	A premium	Floating rates	At par with monthly interest	(b) A discount and redeemed at par	T-Bills are zero coupon: sold at a discount and redeemed at face value.
35	T-Bills in India are currently issued for tenors of:	14, 28 and 56 days	91, 182 and 364 days	1, 3 and 5 years	7 and 10 years	30, 60 and 90 days	(b) 91, 182 and 364 days	T-Bills are issued for 91-day, 182-day and 364-day tenors.
36	Certificates of Deposit (CDs) are issued by:	Companies	Banks and select financial institutions	State governments	SEBI	Mutual funds	(b) Banks and select financial institutions	Certificates of Deposit are negotiable money market instruments issued by banks and select FIs.
37	Commercial Paper (CP) is issued by:	RBI	Highly rated corporates and institutions	Only PSUs	Panchayats	State governments	(b) Highly rated corporates and institutions	Commercial Paper is an unsecured promissory note issued by highly rated corporates.
38	The call money market deals in funds for:	Overnight borrowing/lending	5-year loans	Housing finance	Trade credit	Loans of 1 to 5 years	(a) Overnight borrowing/lending	The call money market handles overnight interbank funds; notice money runs 2 to 14 days.
39	The benchmark stock index of BSE is:	Nifty 50	Sensex	Bankex only	BSE 500 only	Nifty Bank	(b) Sensex	Sensex tracks 30 large stocks on BSE; it is India's oldest index (base 1978-79 = 100).

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40	The Nifty 50 index belongs to:	BSE	NSE	MCX	NCDEX	India INX	(b) NSE	Nifty 50 is the benchmark index of the National Stock Exchange.
41	A 'bull' market indicates:	Falling prices	Rising prices and optimism	Stagnant prices	Closed markets	High volatility with flat prices	(b) Rising prices and optimism	A bull market means sustained rising prices; a bear market means falling prices.
42	Dematerialisation of shares is handled in India by depositories:	CIBIL and CRIF	NSDL and CDSL	AMFI and CRISIL	NPCI and CCIL	SEBI and RBI	(b) NSDL and CDSL	NSDL and CDSL hold securities in demat form; CIBIL is a credit bureau.
43	Mutual funds in India are regulated by:	AMFI	SEBI	IRDAI	RBI	PFRDA	(b) SEBI	Mutual funds operate under SEBI (Mutual Funds) Regulations, 1996; AMFI is only an industry body.
44	An IPO refers to:	Buyback of shares	First-time sale of shares by a company to the public	Bonus issue	Rights issue	Issue of debentures to promoters	(b) First-time sale of shares by a company to the public	An Initial Public Offering is the first sale of a company's shares to the public.
45	The IMF and World Bank were created at which conference?	Yalta Conference	Bretton Woods Conference, 1944	Geneva Convention	Doha Round	Havana Conference	(b) Bretton Woods Conference, 1944	The Bretton Woods Conference (1944) created the IMF and the IBRD (World Bank).
46	The headquarters of the IMF is in:	Geneva	New York	Washington DC	Paris	London	(c) Washington DC	IMF headquarters is in Washington DC, as is the World Bank.

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47	SDR (Special Drawing Rights) is the reserve asset of:	World Bank	IMF	WTO	ADB	BIS	(b) IMF	SDR is the IMF's international reserve asset based on a basket of five currencies including the rupee-relevant USD, EUR, CNY, JPY and GBP.
48	The WTO came into existence in:	1948	1991	1995	2001	1986	(c) 1995	WTO succeeded GATT on 1 January 1995; headquartered in Geneva.
49	The Bank for International Settlements (BIS), which hosts the Basel Committee, is located in:	London	Basel, Switzerland	Frankfurt	Brussels	Geneva	(b) Basel, Switzerland	BIS at Basel, Switzerland hosts the Basel Committee on Banking Supervision.
50	The New Development Bank (NDB) is associated with:	G7	BRICS	ASEAN	SAARC	G20	(b) BRICS	The New Development Bank of BRICS nations is headquartered in Shanghai.
51	The Asian Development Bank (ADB) is headquartered in:	Tokyo	Manila	Singapore	Jakarta	Beijing	(b) Manila	The Asian Development Bank (1966) is headquartered in Manila, Philippines.
52	The current Policy Repo Rate (post June 2026 MPC) is:	5.00 percent	5.25 percent	5.50 percent	6.50 percent	4.75 percent	(b) 5.25 percent	The repo rate has been 5.25 percent since the 25 bps cut on 5 December 2025; held in Feb, Apr and Jun 2026.

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53	The current Reverse Repo Rate is:	3.00 percent	3.35 percent	4.00 percent	5.00 percent	3.65 percent	(b) 3.35 percent	The fixed reverse repo rate stands at 3.35 percent; SDF is the operative absorption rate.
54	The current Cash Reserve Ratio (CRR) is:	3.00 percent	4.00 percent	4.50 percent	5.00 percent	3.50 percent	(a) 3.00 percent	CRR was reduced in phases to 3.00 percent of NDTL following the June 2025 policy.
55	The current Statutory Liquidity Ratio (SLR) is:	16.00 percent	18.00 percent	19.50 percent	21.50 percent	20.00 percent	(b) 18.00 percent	SLR stands at 18.00 percent of NDTL.
56	The current Standing Deposit Facility (SDF) rate is:	4.75 percent	5.00 percent	5.25 percent	5.50 percent	4.50 percent	(b) 5.00 percent	SDF, the corridor floor, is 25 bps below the repo rate at 5.00 percent.
57	The current Marginal Standing Facility (MSF) rate and Bank Rate stand at:	5.25 percent	5.50 percent	5.75 percent	6.25 percent	6.00 percent	(b) 5.50 percent	MSF and Bank Rate are 25 bps above the repo rate at 5.50 percent.
58	The present Governor of the RBI is:	Shaktikanta Das	Urjit Patel	Sanjay Malhotra	Raghuram Rajan	Michael Patra	(c) Sanjay Malhotra	Sanjay Malhotra took over as the 26th RBI Governor in December 2024.
59	In its June 2026 meeting, the MPC kept the repo rate unchanged with which policy stance?	Accommodative	Neutral	Calibrated tightening	Hawkish	Withdrawal of accommodation	(b) Neutral	The June 2026 MPC held the repo rate at 5.25 percent with a neutral stance.
60	The RBI's GDP growth projection for FY 2026-27 (as revised in June 2026) is:	7.6 percent	6.9 percent	6.6 percent	5.8 percent	7.2 percent	(c) 6.6 percent	In June 2026 RBI cut its FY27 growth projection to 6.6 percent from 6.9 percent, citing global headwinds.